

for the full period, generating an average of 5.58 percent more return each year than the market capitalization-weighted portfolio. Over the 63 years examined, a \$10,000 investment grows to a terminal capital of \$1.6 billion, almost 19 times more than the comparable market capitalization-weighted portfolios. This is likely another example of the simulator getting ahead of reality. With this much capital, the equally weighted Deep Value portfolio would likely be pushing up against the limits of the strategy.

This examination demonstrates the utility of examining stocks on the basis of intrinsic value in general and the enterprise multiple in particular. We already know that the enterprise multiple is useful for identifying undervalued stocks in the general stock market. The decile portfolios of stocks formed on the basis of the enterprise multiple perform in rank order, with the most undervalued performing best and the most overvalued performing worst. We can now see that if we limit our examination to the value decile, we find that even there the portfolios of stocks with the lowest valuation ratios outperform the most expensive value stocks. The ratio of gross profits to total assets, Novy-Marx's measure of quality, seems to be one of the better measures of quality, identifying stocks in the general stock market that outperform the market. There is also some weak evidence in the data that it has identified high-quality value stocks that outperformed other value stocks, but it's not conclusive that it will continue to do so. In any case, it underperforms a comparably sized portfolio of stocks selected solely on the basis of valuation. This seems to confirm the thesis that valuation is a very powerful determinant of investment performance, and it is more important than quality.

Like Graham's net net rule, the enterprise multiple identifies stocks that meet many of the criteria activists seek in targets. Unlike the net net rule, however, the enterprise multiple has the advantage of scaling into large capitalization stocks. Recall that the enterprise multiple seeks stocks with a high ratio of EBIT or EBITDA to enterprise value, which is the market capitalization less net cash plus debt, any preferred stock, minority interests, and may include underfunded pension costs, and is regarded as the true cost to an acquirer of the company in its entirety. The practical effect is that the enterprise multiple favors companies with high levels of cash and low levels of debt in relation to the operating earnings generated by the business. While investors generally regard these attributes as positives, companies can build up too much cash relative to the size of the business. Jensen's agency costs of free cash flow illuminates the tension between managers wishing to retain cash for asset growth and maintaining too low payout ratios, versus shareholders preferring that the payout ratio be increased and the cash be paid out. Thus the enterprise multiple identifies many undervalued companies with so-called "lazy" balance sheets and hidden or unfulfilled potential. Activists